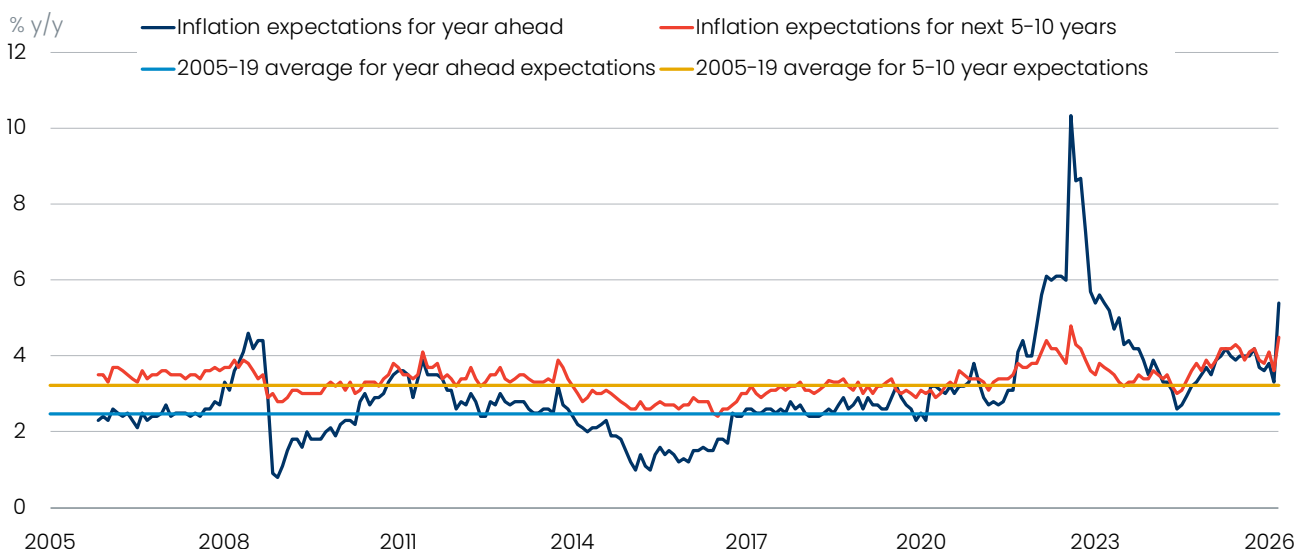


# Why higher rates may be on the MPC's agenda

- Our base case is for the UK's Monetary Policy Committee to keep rates on hold this year. Unless global energy prices fall back substantially soon, however, the MPC may judge some tightening – such as two 25bp hikes this year – is preferable to a strategy of 'keep rates on hold and wait and see'.
- Tightening would aim to lean against risks of second-round effects on pay growth and firms' pricing strategies that would keep inflation higher for longer.
- We now expect CPI inflation to reach about 4.5% later this year. But, because of uncertainties regarding the extent to which higher inflation will affect inflation expectations and pay growth, the scale of any second-round effects is unlikely to be clear until early next year.
- Given these uncertainties, the MPC may judge that early tightening is a more robust strategy than 'wait and see', and more likely to ensure the inflation outcome is not too bad across a range of scenarios for inflation expectations and second-round effects.
- Moreover, the costs of a policy error are asymmetric at present: it would probably be less costly to tighten this year and then loosen if needed next year than to keep rates on hold and then – if significant second-round effects materialise – catch up with sharp tightening next year. A decision to hike rates while CPI inflation is rising sharply also could have a better impact than unchanged rates in signalling the MPC's commitment to the inflation target.
- The likelihood of tightening this year will strengthen if global energy prices stay high and if inflation expectations among households and firms remain elevated or rise further.

**Chart 1: Household inflation expectations are well above historic norms**

## UK: Median household inflation expectations



Sources: Oxford Economics, Haver Analytics

## MPC will focus on avoiding second-round effects of the energy-driven rise in inflation

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We [now expect](#) the direct and indirect effects of the energy price surge will lift UK CPI inflation to about 4.5% later this year. The Monetary Policy Committee will not, of course, seek to prevent this energy-driven rise in inflation. Its focus will be on preventing second-round effects on pay growth and firms' price setting strategies, which would keep inflation above target even once the direct and indirect effects of higher energy prices fade.

But, as we recently argued, the MPC will be much more alert to risks of second-round effects than previously. The [old mantra](#) that central banks should 'look through' energy price shocks no longer applies – at least for the UK – because the experience of recent years makes it clear that inflation expectations are not sufficiently anchored. We expect the MPC's response will be more hawkish than the old 'look through' the shock approach, seeking to lean against risks that the energy-driven rise in inflation will lift inflation expectations and create pressure for real wage catch up, hence producing second-round effects.

The [MPC's recent statements](#) are consistent with this different approach. For example, having had an easing bias at its February meeting, the Committee left rates unchanged in March and gave no signal that rates are likely to fall soon. But so far, MPC members have not indicated whether they are likely to hike rates or simply keep them on hold at 3.75% – a level that appears somewhat restrictive versus the consensus view in the [BoE MAPS survey](#) that neutral is about 3.25%.

Our [central forecast](#) is that the MPC will leave rates unchanged at 3.75% until mid-2027, before gradually cutting thereafter. In this view, rising unemployment and a slightly restrictive policy stance will limit second-round effects on pay growth, which we estimate will average 4.4% y/y this year and 3.5% y/y in 2027 (versus private regular pay growth of 4.5% in 2025). As a result, upward pressure on core inflation should be modest and temporary. As lower energy prices feed through, CPI inflation should fall sharply next year, dropping slightly below the 2% target, allowing the MPC to resume easing.

But it's possible that the need to lean against second-round effects will prompt the MPC to hike rates this year. The key challenge for the MPC is that the scale of second-round effects is highly uncertain, but risks are weighted to the upside, and much of the impact of monetary policy on the economy occurs with a considerable lag. Under these conditions, it may be safer to do some tightening this year, and then recalibrate as needed, rather than wait until the scale of second-round effects is clear.

## MPC faces multiple unavoidable uncertainties over inflation outlook

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The uncertainties over the scale of second-round effects partly reflect inevitable uncertainties over the path of energy prices. The MPC acknowledged in [its March statement](#) that, all else equal, a longer or greater energy shock would increase risks of higher inflation expectations and greater second-round effects. But there are also uncertainties over the impact on inflation expectations and pay growth of a given path of energy prices.

For example, [BoE research](#) suggests that inflation expectations are more sensitive to swings in inflation when, as is likely in the coming months, inflation is above 3%-4% (with most results suggesting the threshold is around 3%), and when higher inflation is driven by highly visible prices such as energy and food. [Other BoE research](#) suggests that firms' inflation expectations respond more to higher inflation than lower inflation.

We suspect the impact on inflation expectations of the upcoming rise in inflation also may be exacerbated by the cumulative effect of the recent years of high inflation. CPI inflation has averaged 5% y/y over the last five years – the highest five-year average since the early 1980s – and the memory of the recent double-digit inflation is still fresh. So, faced with another energy price surge, unless monetary policy tightens sufficiently, households and businesses may simply assume high inflation is the norm.

In this context, the March Citi/YouGov survey looks ominous, highlighting risks that inflation expectations will rise disproportionately. The survey showed sharp jumps in household inflation expectations for the year ahead to 5.4% y/y from 3.3% in February, and for the longer term (next five years) to 4.5% y/y from 3.6% in February. This measure of longer-term inflation expectations has only been higher in one month (August 2022) over the last 20 years. This is very different to the US, in which long-term household inflation expectations have been fairly stable so far. The MPC is unlikely to be reassured by the relative stability of UK inflation expectations based on financial markets, because these probably also assume the Bank Rate rises implied by financial markets.

There are also uncertainties over the effects of higher inflation expectations on pay growth. For example, [Chart 2](#) shows two slightly different versions of a [standard "Yellen"-type model](#) that seeks to explain and predict pay growth using inflation expectations, labour market slack, trend productivity, and dummies for furlough effects. One model measures labour market slack as the vacancy rate (i.e. vacancies divided by employment), while the other uses the gap between unemployment and its equilibrium. In explaining past pay growth, the second attributes a greater role to inflation expectations and a lesser role to labour market conditions than the first. The statistical fit of both models is very similar. You cannot say with confidence which is more valid.

**Chart 2: Alternative models point to differing outlooks for pay growth**

**UK: Alternative models and forecasts for private regular pay growth**



Sources: Oxford Economics, Haver Analytics

Chart 2 also shows forecasts for pay growth using both models. For both, we assume the labour market loosens further. Both use the same path for year-ahead inflation expectations, assuming the high March figure persists in Q2 and allowing for the usual effects on inflation expectations of changes in headline inflation after that. The first model (which puts more weight on labour market conditions) predicts that pay growth in 2027 will be subdued, at about 3.2% (a target-consistent pace), only slightly above the MPC's prewar forecast that pay growth will be 2.7% y/y in 2027Q4. The second model (which puts more weight on inflation expectations) forecasts that pay growth will rise significantly, exceeding 4.5% y/y next year, far above a target-consistent pace.

These outcomes would have very different monetary policy implications. Taking the MPC's [February MPR projections](#) and interest rate profile as the starting point and allowing for the knock-on effects of these alternative paths for pay on core inflation, and a [Taylor-type monetary policy response](#), the first would imply unchanged rates at 3.75% near-term, and perhaps lower rates next year. The second would imply that Bank Rate should rise by about 100bp (i.e. to about 4.75%), even assuming an unchanged neutral rate.

If the economy's behaviour was predictable then the MPC could simply judge which outcome for second-round effects is more likely and set policy accordingly. But in practice, these uncertainties are unavoidable, although they probably are one-sided: there is more chance that second-round effects will leave pay growth above a target-consistent pace than below. Moreover, these uncertainties are unlikely to be resolved quickly given that most pay deals are set in January–April. The DMP survey of expected pay growth tends to lead actual pay growth by about five months, but it significantly understated the 2022–2023 pickup in pay growth. Realistically, the MPC won't have a reliable view on 2027 pay trends until early next year.

### Why a 'keep rates on hold and wait and see' might not be the best strategy

The MPC needs to choose the appropriate strategy in the face of these large uncertainties. One approach is that it could simply choose to keep rates on hold and 'wait and see', until it is clear which scenario for pay growth is materialising and then rapidly adjust accordingly. This would probably mean waiting until early next year. However, doing nothing is not always the best strategy in the face of high uncertainty. Instead, if inflation expectations remain high, it is possible the MPC will judge that it is safer to do a couple of 25bp hikes this year, even if it is too early to see solid evidence either way regarding 2027 pay deals. This reflects three considerations.

#### Early tightening is a more robust strategy for dealing with the current uncertainties.

As Deputy Governor [Huw Pill recently argued](#), at a time of high and unavoidable uncertainty it is sensible to adopt a "robust" approach that puts some weight on a range of outcomes, including unfavourable ones. Rather than aim for a policy stance that seems just right for a central scenario – but that would do badly if things don't turn out as expected – a robust strategy would aim to ensure the outcomes for inflation and the economy are not too bad across a range of scenarios for energy prices and second-round effects. For example, rather than assume second-round effects will be small, a robust strategy would allow for the possibility of greater second-round effects, and also accept that near-term monetary policy decisions can reduce risks of more adverse outcomes.

A preference for a more robust strategy probably points to some early tightening rather than keeping rates on hold. For example, if the MPC follows the strategy of holding rates and waiting, it would be well-placed if the low-pay scenario occurs, but far adrift if the high pay growth scenario unfolds. Since monetary policy affects the economy with a lag, if the MPC waits, and it becomes clear in early 2027 that the high pay growth scenario is occurring, the Committee would then need to raise rates very abruptly, creating undesirable volatility in the economy.

Moreover, the required tightening with a wait and see strategy might be more than our estimates presented above. This is partly because (as discussed above) the upcoming period of high inflation figures may lift inflation expectations more than we assume, hence increasing the likely scale of second-round effects. It is also because the neutral nominal level of interest rates itself may drift up if long-term inflation expectations stay at the high March level or rise further. Factors that affect the [neutral real rate](#) have not changed much in recent years. But with long-term inflation expectations higher than previously, various guides (e.g., BoE MAPS survey, OIS forwards 5 years ahead) suggest the neutral level of Bank Rate rose from 1–2% in 2021 to 3–4% recently. Higher inflation expectations could lift the neutral rate further. In this case, Bank Rate at 3.75% may be less restrictive than the MPC intend, and perhaps not restrictive at all, allowing second-round effects to take root.

#### The costs of policy error are asymmetric at present

With inflation expectations already high, the costs of alternative policy errors are asymmetric. If the MPC hike this year and second-round effects prove to be modest, they could cut rates again next year with no great harm done. There would be some loss of economic output, but inflation expectations would probably be better anchored than now. Conversely, if the MPC waits and then finds that second-round effects are sizeable, that would probably further entrench the already-high level of inflation expectations. Such an outcome would

probably require a sharp rise in interest rates to re-anchor inflation expectations and return inflation to target – inevitably inflicting greater damage on the economy.

### Hiking rates carries an important signalling effect to help rein in inflation expectations

In addition, some early tightening might help limit risks that inflation expectations rise further in response to the expected near-term rise in inflation. [BoE research](#) suggests that interest rate changes can affect firms' inflation expectations directly (as well as affecting expectations indirectly through monetary policy's impact on demand). Conversely, a decision to keep rates on hold while inflation rises above 4% this year might have an adverse signalling effect, weakening the credibility of the MPC's commitment to the inflation target and hence lifting inflation expectations further. The point that an unchanged Bank Rate would be a tighter strategy than the MPC's expectation before the US-Iran war (which was to cut rates further) may be too subtle to cut through to firms and households across the economy. People may notice that fixed mortgage rates are higher and plan to spend less accordingly. But they may be less likely to attribute this to the MPC's determination to return inflation to the 2% target.

### What could prompt the MPC to act?

So, rather than keep rates on hold, we can also envisage a scenario in which the MPC hikes rates a couple of times this year: one in June–September, and another in Q4 (a case could also be made for the MPC doing slightly more if inflation expectations rise significantly further). There are various possible triggers that could influence the precise timing. A hike at the late-April meeting seems unlikely at this stage, although some MPC members may be tempted to push for one if the April YouGov/Citi inflation expectations tracker rises even higher – especially long-term inflation expectations. Or the MPC could be prompted to act by several months of high inflation expectations in June–July, even if they don't rise much further. Or the MPC may be sensitive to threshold effects from CPI inflation on inflation expectations. For example, they may judge that a rise in CPI inflation above 4% y/y (which we expect to happen in the July data, published between the July and September policy meetings) should trigger (or be preceded by) a policy response. A significant rise in the DMP survey of firms expected pay growth could make the MPC more hawkish at any point.

It is also worth noting that the MPC has shown a tendency to move rates more often in the quarterly meetings with an updated forecast (this year in February, April, July and November), although this was not the case with the recent easing in December last year.

As well as the data, the likelihood of early tightening may also depend on the extent to which MPC members emphasise issues such as the need for a robust policy strategy, asymmetric costs of policy errors, signalling effects of rate hikes, or worries about the high level of household inflation expectations. Conversely, language that emphasises the disinflationary effects of labour market weakness, or the restrictive effects of the current policy stance, would be relatively dovish.

If the MPC do hike this year, then the Committee could then recalibrate as evidence emerges one way or the other. If risks of second-round effects fade, the MPC would be set for an extended pause (and perhaps eventual easing next year). If substantial second-round effects appear more likely, the MPC might have to hike further next year, but the Committee would be less far adrift than if it had pursued a wait-and-see approach.

### What could reduce risks of MPC tightening?

We stress the uncertainties here. Any interest rate forecast may have to be revised if energy prices move sharply one way or the other. And risks of MPC tightening would also fall if inflation expectations drop back, or evidence emerges that the economy is even weaker than we expect.